EXECUTIVE SUMMARY

1. Introduction

a. Agency Profile

The Municipality of Piat was founded on May 1, 1610 and got its name probably from the word "APIYAT" (meaning message) as this was the predominant art of healing during those times and from the native word "PIA" which means goodness, usefulness, good health or pleasant looks. The old name of the town is "PIAS" as the name was engraved in the old bells of Sto. Domingo Church. The town proper is nestled in a plateau about 42 kilometers northeast of the capital town of Cagayan Province – Tuguegarao City. It has a population of 23,597 and based on the statistics of the last election, a total of 14,216 were registered voters.

For CY 2017, the Municipality of Piat had a total of 136 personnel complement with 65 permanent, 11 elective, 3 co-terminus, 16 casual employees and 41 job order.

b. Audit Methodology and Scope of Audit

The audit covered the accounts and operations of the Municipality of Piat, Cagayan for the year 2017 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial and compliance audits were conducted to achieve these audit objectives.

2. Financial Highlights

The highlights of the financial position, financial performance, appropriations, allotments and obligations of the Municipality of Piat for the year-ended December 31, 2017 with comparative figures for CY 2016 are as follows:

	2017	2016	Increase/ (Decrease)
Financial Position			
Total Assets	₱211,372,688.59	₱192,708,854.12	18,663,834.47
Total Liabilities	43,853,701.55	58,437,317.57	(14,583,616.02)
Total Government Equity	167,518,987.04	134,271,536.55	33,247,450.49
Financial Performance			
Total Income(Includes Subsidy from Other Funds)	95,452,594.73	87,381,029.16	8,071.565.57

	2017	2016	Increase/ (Decrease)
Total Expenses (Includes Total Operating Expenses, Interest Expenses, Subsidy to Other Funds and Donations)	₱ 66,186,137.94	₱ 71,236,808.55	(₱ 5,050,670.61)
Appropriations, Allotments and Obligations			
Total Appropriations-Current	₱ 92,999,266.00	₱ 89,958,214.00	₱ 3,041,052.00
Total Obligations	73,712,832.12	61,223,368.24	12,489,463.88
Appropriations-Continuing	43,155,829.05	21,685,728.90	21,470,100.15
Obligations-Continuing	10,967,925.95	5,892,479.16	5,075,446.79

In 2017, the Municipality of Piat received funds from other government agencies totaling ₱17,514,175.30 and there had been no transferred funds to barangays:

	2017	2016	Increase/ (Decrease)
Funds Received from:			
National Government Agencies (NGAs)	₱17,514,175.30	₱11,168,344.75	₱6,345,830.55
Local Government Units	-	-	-
Non-Government Organizations/People's Organizations (NGOs/POs)	-	-	-
Others			
Total	**₱17,514,175.30**	**₱11,168,344.75**	**₱6.345,830.55**
Funds Transferred to:			
NGAs	-	-	-
Local Government Units	36,000.00	-	36,000.00
NGOs/POs			
Total	**₱ 36,000.00**	**₱ -**	**₱ 36,000.00**

3. Auditor's Opinion on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Piat for the year-ended December 31, 2017 due to the following:

a. The General Services Office did not conduct a physical count of the Property Plant and Equipment (PPE) with carrying amount of ₱68,432,732.58 as of December 31, 2017 which is not in accord with Sections 119, 120 and 124, Volume I of the Manual on New Government Accounting System (NGAS) for

Local Government Units (LGUs) and Section 111 of Presidential Decree (P.D.) No. 1445 hence, propriety and reliability of the accounts could not be ascertained. Likewise, the PPE account balances were not supported by subsidiary ledgers and the Property, Plant and Equipment Ledger Cards thereby rendering the accounts unreliable.

b. The Cash in Bank- book balance totaling ₱114,886,788.58 differed from the balances appearing in the bank statements as of December 31, 2017 by ₱801,063.47 due to the continued non-preparation of the monthly bank reconciliation statements by the Accounting Office contrary to COA Circular No. 96-011 dated October 2, 1996, thus the reliability and accuracy of the account cannot be fully established.

4. Significant Observations and Recommendations

a. The cost of supplies and materials in the total amount of P3,665,457.20 procured in year 2017 were treated as outright expense instead of using the "Inventory" account, which is not in accord to Sections 51 and 114, Volume 1 of the Manual on NGAS for LGUs, thus, the asset and expense account is misstated.

We recommended Management to:

a. direct the Municipal Accountant to adopt the perpetual inventory method for supplies and materials;

b. provide budget for storage for the supply requirements, otherwise, if no available storage area is available, we recommend that control procedures be established to regulate the issuance to the end-users within a month; and

c. a central procurement system maybe introduced by establishing the actual needs of each section offices as documented in the Annual Procurement Plan.

b. Out of the ₱59,377,122.05 total appropriations for the 20% Development Fund, only 19.27% or P11,439,879.47 was utilized as at year-end thus, projects programmed in prior years may become irrelevant to the present needs and situation of the Municipality thereby depriving constituents of timely, basic and value added services and benefits which could have contributed to their socio-economic development which is not in accord to Section 2 and Section 287 of RA 7160 and DILG and DBM Joint Memorandum Circular No. 2011-1.

We recommended that the Local Development Council and the Municipal Planning and Development Office (MPDO) determine causes of the non-implementation of projects. Formulate and develop specific strategies and solutions to effectively implement development projects. Lastly, consider formulating a timetable within which to complete the unimplemented projects and

review the costing of projects programmed two to seven years ago to conform to the present conditions.

c. Depreciation of Water System in the Property, Plant and Equipment (PPE) accounts with a total value of ₱3,339,109.58 was not provided contrary to Section 4 of NGAS Manual for LGUs, Volume I, thus overstating the income and asset accounts in the financial statements

We recommended that the Municipal Accountant provide depreciation for the PPE accounts and record in the books to reflect the correct balance thereof in the financial statements.

5. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-
Disallowances					
Prior Years	₱992,553.29	-	-	₱992,553.29	0%
Current Year	-	-	-	-	-
Total	₱992,553.29	-	-	₱992,553.29	0%
Charges					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-

6. Status of Implementation of Prior Years' Audit Recommendations

Out of the thirteen (13) audit recommendations in the 2016 Annual Audit Report, five (5) were implemented, six (6) were partially implemented and two (2) were not implemented.